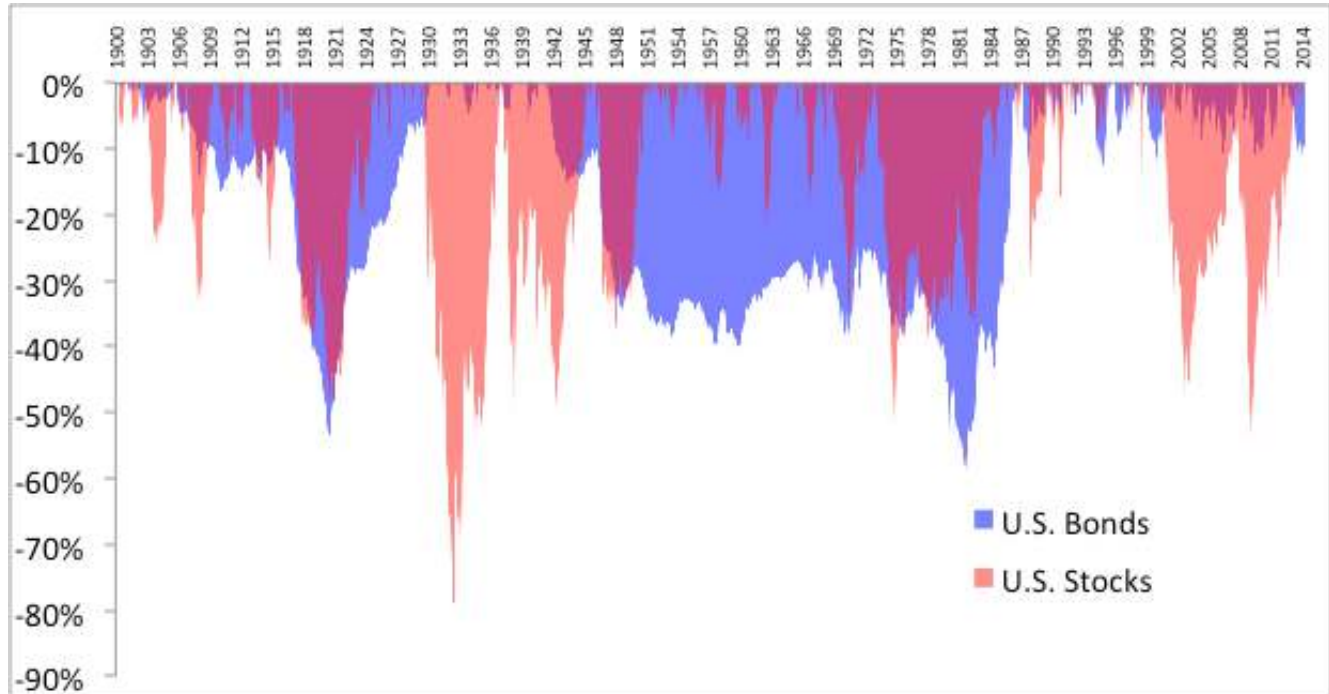


the drawdown figure.

FIGURE 9 –Asset Class Real Drawdowns, 1900-2014



Source: Morningstar, Bloomberg, Elroy Dimson, Paul Marsh, Mike Staunton, *Triumph of the Optimists*, Princeton University Press 2002

The same principle occurs in the U.K., but bond investors had to wait even longer to get back to even – almost 50 years! Below is Figure 10 looking at yearly real returns and drawdowns.